10. Examine the statutory books and registers, profit and loss account, and balance sheet.

4.2.6 Advantages of an Audit Programme

An audit programme can give the following advantages:

1. **Helps in Estimation and Division of Work:** Audit Programme helps in estimating the quantum of audit work in advance and also helps in dividing the work among the audit assistants based on their capabilities.
2. **Helps in Fixation of Responsibility:** It enables to fix responsibility on the audit assistants by clearly defining the scope of work.
3. **Helps in Future Planning:** Audit programme serves as a basis for planning the audit work for subsequent year.
4. **Serves as a Guide:** It serves as a valuable guide for the audit staff in execution of the audit work for succeeding years.
5. **Valuable Evidence:** It serves as an evidence for the work done as initials of those who have done the particular work are appended to it. The auditor can produce the audit programme as a proof when a charge of negligence being brought upon him.
6. **Uniformity:** It provides for uniformity in audit work as the same work will be done every year.
7. **Continuity:** When an audit staff goes on leave others can continue the work by referring to the audit programme, hence, audit programme provides for continuity of work.
8. **Coordination:** If facilitates coordination and helps in supervising the work of the audit staff.

4.2.7 Disadvantages of an Audit Programme

The disadvantages that may be experienced by conducting audit as per predetermined audit programme are -

1. **Mechancial:** When audit work is conducted mechanically every year based on the audit programme, it causes monotony and boredom to the auditor and audit staffs.
2. **No Quality in Work:** The audit staff will be more interested to complete the work in time rather than to maintain any standard in the work.
3. **Loss of Initiative:** Audit staff cannot take their own decisions and they are compelled to comply with the audit programme. Hence, an efficient audit clerk loses his initiative and interest as he cannot make any suggestions.
4. **Rigidity:** A rigid and inflexible audit programme cannot be laid for all types of business. During the course of audit, new areas to be verified may come to the notice of the audit staff. Unless the audit programme is revised, such areas may escape from auditing.
5. **Shelter for Inefficient Staff:** Inefficient audit staffs conceal their mistakes or weakness on the basis of audit programme. Hence, it provides shelter for inefficient audit staff.
6. **Unsuitable:** Pre-determined audit programme is not suitable for small business organizations.

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